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UNITED STATES DISTRICT COURT

CENTRAL DISTRICT OF CALIFORNIA

MIGUEL LERMA, JR., individually and on behalf of all others similarly situated,

Plaintiff,

vs.

AMAZON.COM SERVICES, LLC, AMAZON LOGISTICS, INC., ACCURATE BACKGROUND, LLC, and DOES 1-5,

Defendants.

Case No. 8:22-CV-01727-FWS-JDE

DEFENDANTS AMAZON.COM SERVICES, LLC AND AMAZON LOGISTICS, INC.'S REPLY IN SUPPORT OF THEIR MOTION TO DISMISS PLAINTIFF'S FIRST AND FIFTH CLAIMS IN THE FIRST AMENDED COMPLAINT

Date: February 16, 2023
Time: 10:00 a.m.
Judge: Hon. Fred W. Slaughter
Ctrm: 10D

TABLE OF CONTENTS

Page

I. INTRODUCTION 1

II. ARGUMENT 2

A. Plaintiff's Megan's Law Claim Fails as a Matter of Law. 2

1. None of the Information in the Background Check Report Was Obtained from the Megan's Law Website. 2

2. Plaintiff's New Theory Regarding the National Sex Offender Database Does Not Make His Megan's Law Claim Plausible. 5

B. Plaintiff Fails to State a Claim for Violation of California's Unfair Competition Law. 7

1. Plaintiff Concedes That the Court Lacks Jurisdiction Over His UCL Claim. 7

2. Plaintiff's Other Arguments Regarding His UCL Claim Lack Merit. 8

III. CONCLUSION 10

TABLE OF AUTHORITIES

Page(s)

Cases

Allen v. City of Beverly Hills,
911 F.2d 367 (9th Cir. 1990) 7

Ashcroft v. Iqbal,
556 U.S. 662 (2009) 8

Barranco v. 3D Sys. Corp.,
952 F.3d 1122 (9th Cir. 2020) 7

Clark v. Am. Honda Motor Co.,
528 F. Supp. 3d 1108 (C.D. Cal. 2021) 7

In re Ferrero Litigation,
794 F.Supp.2d 1107 9

Guzman v. Polaris Industries Inc.,
49 F.4th 1308 (9th Cir. 2022) 8

Miller v. Rykoff–Sexton,
845 F.2d 209 (9th Cir. 1988) 7

Schneider v. California Dep't of Corr.,
151 F.3d 1194 (9th Cir. 1998) 6

Sonner v. Premier Nutrition Corp.,
971 F.3d 834 (9th Cir. 2020) 7

U.S. v. Holtzman
(1985) 762 F.2d 720 9

Statutes

Cal. Civ. Code § 1786.18 5

Cal. Pen. Code § 290.46(j)(2) 6

I. INTRODUCTION

Plaintiff premises his purported Megan's Law claim entirely on the conclusory allegation that Accurate prepared and furnished to Amazon a background check report that contained conviction information about him from the Megan's Law website. *See* FAC, ¶¶ 29, 42. Yet, when confronted with the background check report, Plaintiff cannot identify any information that even allegedly came from the Megan's Law website. That is because none of it did. The conviction information matches what is in court records, not what is on the Megan's Law website. For example, the descriptions of the felony convictions in the background check report are "Rape Duress Menace" and "Rape by Use of Drugs." These descriptions match those in the Orange County Superior Court records, not those on the Megan's Law website, which instead are "Rape by Force or Fear" and "Rape of a Drugged/Intoxicated Victim." Similarly, the court case number (11WF0759), case filing date (04/04/2011), offense level (felony), disposition (guilty), and disposition date (01/08/2013) can only be found in the Orange County Superior Court records, not the Megan's Law website.

Lacking any response to these points, Plaintiff attempts to put forth new allegations that he claims show that Accurate must have included information from the Megan's Law website in the background check report. Namely, he alleges that Accurate consulted the National Sex Offender Database, which would have returned results from the Megan's Law website, and that information was then incorporated into the background check report. Opp. 10:26-11:22. First, in opposing a motion to dismiss, Plaintiff cannot rely upon facts that are not pled in the operative complaint. Second, these allegations are contradicted by the background check report itself, which contains no information from the Megan's Law website, and thus are implausible. As such, the addition of these allegations to the FAC would not result in a plausibly pled Megan's Law claim. Granting

Plaintiff leave to amend therefore would be futile.

As to Plaintiff's derivative claim under California's Unfair Competition Law ("UCL"), Plaintiff concedes that the Court lacks equitable jurisdiction over his claim because he has an adequate remedy at law. Although Plaintiff makes several arguments regarding the merits of his UCL claim (all of which are unavailing), the Court should not consider those arguments given that Plaintiff cannot pursue equitable relief in the first place.

For these reasons, and for those set forth in Amazon's moving papers, the Court should dismiss Plaintiff's First and Fifth Claims for Relief against Amazon pursuant to Federal Rule of Civil Procedure, Rule 12(b)(6), without leave to amend.

II. ARGUMENT

A. Plaintiff's Megan's Law Claim Fails as a Matter of Law.

1. None of the Information in the Background Check Report Was Obtained from the Megan's Law Website.

Plaintiff does not challenge the authenticity of the background check report submitted as Exhibit 1 to Amazon's Request for Judicial Notice. Rather, Plaintiff asserts that he has put forth a "well-pled competing theory" in the FAC that contradicts the contents of the background check report. Opp. 10:6-16. But that's not true. In the FAC, Plaintiff premises his Megan's Law claim entirely on the contents of the background check report. *See, e.g.*, FAC, ¶ 29 ("Amazon and Accurate Background . . . refused to hire Plaintiff because of conviction information Accurate Background *obtained from the Megan's Law website and disclosed in the background report for Amazon*.") (emphasis added), FAC, ¶ 42 ("Accurate Background conducted background search and *furnished a consumer report containing sex offender registry information* from the Megan's Law Website that Accurate Background knew would be unlawfully used by Amazon and/or Accurate Background for employment decisions.") (emphasis added), FAC, ¶ 73 ("Accurate Background, as an agent or fiduciary representative for Amazon, used

the consumer report in violation of California's Megan's Law by making employment decisions on behalf of Amazon *based on information from Megan Law's website contained in the consumer report*.") (emphasis added).

As such, there is no "competing" theory of liability pled in the FAC. The background check report either contains information obtained from the Megan's Law website or it doesn't. Here, comparing the background check report to the Orange County Superior Court records and the Megan's Law website confirms the lack of any such information.

Orange County Superior Court Records (excerpted and highlighted):

Case Number: 11WF0759

Counts:

Seq	S/A	Violation Date	Section Statute	OL	Violation	Plea	Plea Date	Disposition	Disposition Date
1	0	11/14/2010	261(a)(2) PC	F	Rape; duress; menace	GUILTY	01/08/2013	Pled Guilty	01/08/2013
2	0	11/14/2010	286(c)(2) PC	F	Sodomy by means of force	NOT GUILTY	04/13/2012	Dismissed	01/08/2013
3	0	11/14/2010	288a(c)(2) PC	F	Oral copulation; force or injury	NOT GUILTY	04/13/2012	Dismissed	01/08/2013
4	0	09/10/2009	261(a)(3) PC	F	Rape by use of drugs	GUILTY	01/08/2013	Pled Guilty	01/08/2013

Heard Hearings:

Date	Hearing Type - Reason	Courtroom	Hearing Status	Special Hearing Result
04/04/2011	Arraignment In Custody	W14	Heard	waives statutory time for

Sentences:

Seq #	Sentence Date	Sentence	Due Date
1	01/08/2013	3 years State Prison	
2	01/08/2013	3 years State Prison	

Background Check Report (excerpted):

CASE FILE: 1

CASE NUMBER:	11WF0759	**FILING DATE:**	04/04/2011

IDENTIFIED BY:	☑ **NAME:** LERMA, MIGUEL NULL	**OTHER:**	MEETS IDENTIFIER POLICY

CHARGES:

NUMBER	DESCRIPTION	LEVEL	DISPOSITION
#1	RAPE DURESS MENACE	FELONY	GUILTY
Charge Disposition Date:	01/08/2013		

CHARGE SENTENCING:

OTHER:	Sentencing Summary:6 YEAR(S) PRISON;

NUMBER	DESCRIPTION	LEVEL	DISPOSITION
#2	RAPE BY USE OF DRUGS	FELONY	GUILTY
Charge Disposition Date:	01/08/2013		

CHARGE SENTENCING:

OTHER:	Sentencing Summary:6 YEAR(S) PRISON;

As reflected in the above excerpted and highlighted portions of the Orange County Superior Court records and background check report, all the information in the background check report comes from court records:

- Case Number: 11WF0759
- Case Filing Date: 04/04/2011
- Conviction Descriptions: Rape Duress Menace and Rape by Use of Drugs
- Offense Level: Felony
- Disposition: Guilty
- Disposition Date: 01/08/2013
- Sentencing: 6 years prison

Further, none of the information in the background check report matches information on the Megan's Law website concerning Plaintiff.

Offenses

Offense Code:	261(a)(2)
Description:	RAPE BY FORCE OR FEAR
Year of Last Conviction:	2013
Year of Last Release:	2016
Offense Code:	261(a)(3)
Description:	RAPE OF A DRUGGED/INTOXICATED VICTIM
Year of Last Conviction:	2013
Year of Last Release:	2016

Specifically, the offense code is not included in the background check report, the description of the offenses are different, and there are no specific dates like those in the report.[1] Accordingly, the information in the background check report did not and could not have come from the Megan's Law website. Similarly, the information contained in the pre-adverse and adverse action notices sent to Plaintiff incorporate the same offense descriptions and dates as in the background check

[1] Also, Plaintiff's name in the Orange County Superior Court records appears as "Miguel Lerma," which is how it appears in the background check report. Meanwhile, the Megan's Law website shows Plaintiff's name as "Miguel Lerma, Jr."

report and Orange County Superior Court records (none of which appears on the Megan's Law website):

> RAPE DURESS MENACE FELONY GUILTY - 04/04/2011
>
> RAPE BY USE OF DRUGS FELONY GUILTY - 04/04/2011

See ECF No. 26, Exs. A & B (pp. 24-29).

Plaintiff posits that Accurate could not have located his criminal history in the Orange County court records because its "search was conducted on or about March 1, 2022," and "[s]uch a search would not cover a charge from April 4, 2011 with a conviction date of January 8, 2013." Opp. 16:8-15. This theory formed the basis for Plaintiff's claim against Accurate under the California Investigative Consumer Reporting Agencies Act ("ICRAA"). *See* FAC, ¶¶ 64-69. However, as Plaintiff concedes by voluntarily dismissing the ICRAA claim, the relevant date for purposes of calculating the applicability of the seven-year rule is the date of Plaintiff's release from prison, not the date of conviction. *See* Cal. Civ. Code § 1786.18(a)(7); Opp. 18:16-19. Because the date of Plaintiff's release fell within the prior seven years, these records would have been (and were) captured by Accurate's search. Plaintiff's argument therefore is unavailing.

2. Plaintiff's New Theory Regarding the National Sex Offender Database Does Not Make His Megan's Law Claim Plausible.

Unable to identify anything in the background check report that came from the Megan's Law website, Plaintiff conjectures that, notwithstanding what the report says, Accurate necessarily must have come across Plaintiff's sex offender registry information in California when searching the National Sex Offender Database. Opp. 10:26-11:22. As a threshold matter, the FAC does not plead any facts in support of Plaintiff's new theory that Accurate obtained information from the Megan's Law website via the National Database. In fact, the National Database is never referenced in the FAC at all. Plaintiff's "new" allegations are irrelevant for

Rule 12(b)(6) purposes, and the Court should disregard them. *See Schneider v. California Dep't of Corr.*, 151 F.3d 1194, 1197 (9th Cir. 1998) (holding that a court may not look beyond the complaint to a memorandum in opposition to a defendant's motion to dismiss in determining the propriety of a Rule 12(b)(6) dismissal).

Regardless, this new theory does not save Plaintiff's Megan's Law claim because it is factually unsupported, contradicted by the actual contents of the background check report and the Megan's Law website, and, therefore, is implausible. Plaintiff's Megan's Law claim requires Amazon to have made the decision to rescind his conditional offer by *using* information obtained from the Megan's Law website. *See* Cal. Pen. Code § 290.46(j)(2) (prohibiting the "use" of information on Megan's Law website for employment purposes). However, the background check report shows that there was "NO RECORD FOUND" through a National Sex Offender Database search. RJN, Exh. 1, at pp. 3, 9. In response, Plaintiff challenges the accuracy of the report's statement based on his claim that such a search must have returned information from the Megan's Law website. But whether such a search would or would not have returned such information is immaterial. What matters is the information actually contained in the background check report because that is the information Amazon *used* to rescind Plaintiff's offer of employment. Since none of this information came from the Megan's Law website, Amazon did not use information from the Megan's Law website in rescinding Plaintiff's offer of employment. Plaintiff's Megan's Law claim thus is not viable.

Despite the FAC's deficiencies, Plaintiff has not identified any further factual allegations he could make to show that his Megan's Law claim is plausible. Nor are there any given the existing allegations, the contents of the background check report, and other judicially noticeable materials. Accordingly, providing Plaintiff

with leave to amend would be futile. *See, e.g.*, *Allen v. City of Beverly Hills*, 911 F.2d 367, 373-74 (9th Cir. 1990) (finding that any further amendment would likely prove futile, and thus concluding that the district court did not abuse its discretion in denying the plaintiff leave to amend); *Miller v. Rykoff–Sexton*, 845 F.2d 209, 214 (9th Cir. 1988) ("A motion for leave to amend may be denied if it appears to be futile or legally insufficient"). The Court therefore should dismiss Plaintiff's Megan's Law claim without leave to amend.

B. Plaintiff Fails to State a Claim for Violation of California's Unfair Competition Law.

1. Plaintiff Concedes That the Court Lacks Jurisdiction Over His UCL Claim.

Although Plaintiff argues that he has stated a viable claim for relief under the UCL, he also *concedes* that "this Court lacks equitable jurisdiction over Plaintiff's UCL claim." Opp. 17:25-18:1; *see also id.* 17:21-23 ("Plaintiff does not disagree with Amazon's contention that he seeks legal remedies in the FAC, and therefore maybe [*sic*] barred from seeking equitable remedies under the UCL in federal court."). The Court should dismiss Plaintiff's UCL claim based on this concession. The law is clear that where a plaintiff has an adequate remedy at law—which Plaintiff undisputedly does here—he cannot seek equitable relief pursuant to the UCL. *See Barranco v. 3D Sys. Corp.*, 952 F.3d 1122, 1129 (9th Cir. 2020) ("the necessary prerequisite for a court to award equitable remedies is the absence of an adequate remedy at law"); *Sonner v. Premier Nutrition Corp.*, 971 F.3d 834, 844 (9th Cir. 2020) (dismissing a UCL claim because "the operative complaint does not allege that [plaintiff] lacks an adequate legal remedy"); *see also Clark v. Am. Honda Motor Co.*, 528 F. Supp. 3d 1108, 1121 (C.D. Cal. 2021) (dismissing a UCL claim because "Plaintiffs have not pointed to any allegation in the Complaint pleading that they lack an adequate remedy at law").

2. Plaintiff's Other Arguments Regarding His UCL Claim Lack Merit.

Plaintiff's remaining arguments regarding his UCL claim are irrelevant, as this Court does not have equitable jurisdiction to consider them. *See, e.g.*, *Guzman v. Polaris Industries Inc.*, 49 F.4th 1308, 1314 (9th Cir. 2022) ("Because the district court lacked equitable jurisdiction over [the plaintiff's] UCL claim, it could not, and did not, make a merits determination as to liability . . . .").

Even if the Court considers Plaintiff's remaining arguments, his UCL claim still fails. First, Plaintiff argues that he brings a UCL claim under both the unlawfulness and the unfairness prongs of the statute. As to the unlawfulness prong, Plaintiff argues that even if his Megan's Law claim is dismissed, his Fair Chance Act claim, "which is not at issue in Amazon's motion, also serves as the basis for the UCL claim and thereby precludes" its dismissal. Opp., 17:12-15. Notably, Plaintiff concedes that "[t]he FAC does not specifically allege the Fair Chance Act claim as a predicate for the UCL claim." Opp., p. 17, fn. 12. Plaintiff cannot overcome Amazon's motion to dismiss by relying on a theory that was not actually pled in the FAC and is being raised for the first time in Plaintiff's Opposition. *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007)) ("to survive a motion to dismiss, a *complaint* must contain sufficient factual matter, accepted as true, to 'state a claim to relief that is plausible on its face'") (emphasis added).

As to the unfairness prong, Plaintiff argues that even if his Megan's Law claim is dismissed (the only predicate claim actually alleged in the FAC), his UCL claim can still proceed because "Plaintiff alleges that Defendants' use of the Megan's Law website for employment purposes was unfair." Opp., 17:8-12. "[C]ourts define an unfair business practice as either a practice that undermines a legislatively declared policy or threatens competition, or a practice that has an impact on its alleged victim that outweighs the reasons, justifications, and motives

of the alleged wrongdoer." *In re Ferrero Litigation*, 794 F.Supp.2d 1107, 1117 (citing *Lozano v. AT&T Wireless Servs., Inc.*, 504 F.3d 718, 736 (9th Cir. 2007)). Amazon did not "undermine[] a legislatively declared policy" given that it acted lawfully. As set forth in Amazon's moving papers, Amazon did not base its decision to rescind Plaintiff's conditional job offer on information obtained from the Megan's Law sex offender registry. *See* Amazon's Mot., 3:11-4:10. Rather, it lawfully obtained information regarding Plaintiff's felony rape convictions from a background check report that was prepared from searching court records. *Id.* Plaintiff's allegations to the contrary are nothing more than conjecture and are belied by the contents of the background check report. Further, there are no allegations in the FAC that Amazon's alleged misconduct threatens competition, nor are there any plausible allegations demonstrating that Amazon's reliance on a lawfully prepared background check report has "an impact on Plaintiff that outweighs the reasons, justifications, and motives of the alleged wrongdoer." Plaintiff therefore has failed to allege any facts plausibly demonstrating that Amazon's conduct is "unfair" pursuant to the UCL. And even if he could, Plaintiff's claim still fails because he cannot seek equitable relief where he has an adequate remedy at law.

Plaintiff also argues that he has standing to pursue an injunction because "he suffered an injury . . . that could reoccur and will be redressed." Namely, Plaintiff claims that he "would like to apply again to work for Amazon." Opp., 18:15-21. This argument is based on a false premise, as Amazon acted lawfully. An injunction is therefore inappropriate in these circumstances. *U.S. v. Holtzman*, (1985) 762 F.2d 720, 724 (a court may only enjoin lawful activity "when necessary and appropriate in the public interest to correct or dissipate the evil effects of past unlawful conduct"). Moreover, this argument is self-serving and belied by the allegations in the FAC. In the FAC, Plaintiff alleges that he "hopes to start a career

as a data analyst or financial advisor"—not as an Amazon Fresh associate. *See* FAC, ¶ 15. And again, even if Plaintiff has standing to pursue an injunction against Amazon (he does not), he still cannot pursue a claim under the UCL because he concedes that the Court lacks equitable jurisdiction over his claim.

For these reasons, the Court should dismiss Plaintiff's UCL claim.

III. CONCLUSION

Based on the foregoing, and for the reasons set forth in Amazon's moving papers, Amazon respectfully requests that this Court issue an Order dismissing Plaintiff's first and fourth claims for relief against Amazon pursuant to Rule 12(b)(6) without leave to amend.

Dated: February 2, 2023

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Local Rule 11-6.2 Certification of Compliance

The undersigned, counsel of record for Defendants certifies that this brief contains 2,565 words, which complies with the word limit of L.R. 11-6.1.

Dated: February 2, 2023

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